

TCN AI: Real, or Slides?

TO **Benefit Street Partners, Investment Committee**
 FROM **K. Slowinski, Independent AI & Technology Advisor**
 RE **TCN (Project Teton): lender view of the AI story**
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MY TAKE

TCN is a solid calling platform. It has no AI moat, and it's behind on AI. The "AI + compliance moat" the CIP and the Palo Alto VDD are selling is mostly slides. Their AI agents had **zero customers and zero revenue at the end of 2025** (first customer April 2026). Underwrite the loan on the existing calling business. The AI story is slideware; don't credit it. And I'd flag them as at risk of AI headwinds, because they are far behind today.

WHAT'S REAL (UNDERWRITE THIS)

- The core business is healthy and bootstrapped. You've seen the financials; I won't repeat them.
- Sticky-ish. 98% logo retention, but GRR is 81%. Logos stay while revenue shrinks, which reads like a lot of downsell to me. Management question: what's shrinking, and why?
- **Consumption pricing, confirmed in their CIP.** Nearly everything bills per minute or per message. AI Voice is priced at \$0.20-0.50/min vs ~\$0.05 human, so the AI plan is trading phone minutes for AI minutes at 4-10x. On their pipes, they make more per minute. Off their pipes, they make nothing.

WHAT'S HYPE (DON'T LEND AGAINST IT)

- **The "AI moat" is slides.** Agentic AI had **0 customers and \$0** at end-2025 (first customer April 2026, ~\$1M *planned* for the year). They own one real in-house model, SmartAMD, and it just detects answering machines. The rest of the AI is rented (GPT, Gemini, Whisper).
- **They're behind, and the new players are built differently.** Decagon, Sierra and Skit.ai are agent-first. TCN is bolting bots onto a dialer.
- **The "compliance moat" is table stakes.** Everyone sells it: LiveVox, Five9, Convoso, and AI-native Skit.ai. You can buy it off the shelf (DNC.com, Gryphon). TCN's compliance depth is a real but modest edge, and it's a vertical/legal edge, not an AI one.
- The Palo Alto VDD rates almost every finding a perfect score. That's a second sales deck, not diligence.
- **The AI won't set itself up.** Standing up agents takes forward-deployed engineering. Sierra and Decagon charge \$50-200K and take 8-16 weeks. TCN's mid-market shops can't configure this alone, and TCN runs lean on services. So AI revenue is services-gated, not clean SaaS.

THE REAL RISK

The new AI players can be the phone line themselves. This is already happening. Skit.ai already bundles telephony and runs the whole collections call today. If a customer points one of them at their numbers, TCN is just pipes. Nobody has stress-tested this, and it's the question I'd want answered first.

WHAT I'D DO

- Underwrite the existing business, not the future one: switching costs, consumption pricing, last independent standing after LiveVox went to NICE. Everything past that is slideware.
- **Treat AI as a headwind on this credit, not upside.** They're far behind, and the AI-natives can pull call volume out of the base during the loan term. Monitor dial-path volume and displacement. One question decides it: do they stay in the call path when AI agents replace the seats?

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